Module 7: Pricing Strategy

Start here — Snowflake

Read before class (5–8 minutes): the three facts and three terms below. The full blog, company summary, filing, and detailed role pages are optional depth unless a specific passage is assigned.

In class: review the worked example, explain the decision in your own words, then read only your assigned role in the student packet. Four leads make decisions; the Account Manager integrates them. The packet works without SkillSimm access.

Three essential facts

- Snowflake primarily charges for compute, storage, and data-transfer consumption.
- Net revenue retention declined from 133% to 126% to 125%.
- Operating loss was about $1.4 billion while free cash flow was about $1.1 billion; these are different measures.

Three terms

- Metric: the unit you charge for.
- Level: the amount charged per unit.
- Fence: a rule that separates offers or customer groups.

Worked example — discuss before opening the simulation

Illustrative startup: compare $10 per event with $30 per month. At two events, bills are $20 and $30; at five events, $50 and $30. Discuss which customer each model attracts and what usage costs the venture bears.

Readiness check: What unit are you charging for, and what happens to revenue when the customer uses the product more efficiently? Ask a teammate to explain the task back before starting.

What you produce

- **During the simulation:** one decision in words, one supporting figure or passage, one trade-off, and one condition that would change your mind.
- **Account Manager:** rank the four lead decisions 1–4 and allocate 100 priority points in blocks of 10; explain the first priority with evidence. These are priority weights, not course-grade points.
- **Before leaving:** save your individual decision record. If you finish early, start the venture workshop below.
- **After discussion:** submit your individual reflection through the existing HuskyCT assignment. See the reflection guide. Keep the current deadline; from October 20 onward, aim for 300–500 words.

Thursday venture workshop — 15–20 minutes

Compare two pricing models for your venture. Calculate the customer bill at low and high usage, identify a cost assumption, and justify one model.

Output: A pricing comparison and recommendation for Final Section D. Add it to your shared project document; this is preparation for the project, not a new separately graded assignment.

Debrief question: What did discussion change about your original decision? Explain the evidence, rather than reporting only an option letter.

Takeaway: Connect pricing to customer value, usage behavior, and the cost of sustainable growth.

Class rhythm

- **Tuesday (75 minutes):** 10 minutes concept and example; 5 minutes task walkthrough; 10 minutes role reading; 25 minutes decisions and team discussion; 15 minutes comparison; 10 minutes saving evidence and starting the venture application.

- **Thursday (75 minutes):** 10 minutes concept recap; 35 minutes selected role discussion and feedback; 20 minutes venture workshop; 10 minutes decision record and reflection questions.

Read instructions aloud slowly, pause after each step, and invite a student to restate what must be produced. Use the static packet and shared notes if the platform lags; resume the discussion without waiting on the tool.

Access after class

The accompanying StudentPacket.html / .pdf and Debrief.html / .pdf can be opened without joining a simulation group. Save the packet and your own record before leaving. The same resources are linked from the deployed slide folder.